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Asset-Liability Matching for Small to Mid-Size Insurers: The Basics That Drive Better Investment Outcomes

For insurance companies, investment success is rarely determined by finding the highest-yielding securities or accurately predicting the next move in interest rates. More often, it comes down to one fundamental principle: ensuring that assets are structured to support each firm's unique liability structure, growth and financial requirements.

This is best accomplished by segmenting the investment program's portfolios into components, each with a discrete purpose, investment objective and risk tolerance.

With regard to the "Reserve" component (see graphic on p.4), usually representing the bulk of the assets, asset-liability matching (ALM) remains one of the most effective ways insurers can improve portfolio performance while managing risk. By aligning investment portfolios with expected policyholder obligations, insurers can reduce earnings volatility, improve liquidity management, and create more resilient fixed-income portfolios across changing market environments. In short, ALM consists of duration

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Q2 Economic and Market Review

Fixed Income Review

Second quarter fixed income returns were low but positive. While short maturity Treasuries outperformed longer maturities, the longer maturity Bloomberg U.S. Aggregate total return of 0.67% beat the Intermediate Aggregate return of 0.47% and the Intermediate Government/Credit return of 0.43% because tighter credit spreads increased the prices of longer-term corporate and mortgage-backed securities. Year-to-date, high quality bond indexes have earned positive returns in the 0.40% to 0.62% range.

As news of a peace framework with Iran progressed the price of West Texas Intermediate oil

dropped 33%. Concomitant with the easing of geopolitical tensions, corporate credit spreads tightened 15 basis points to within three basis points of the 71 basis point multi-year low.

Kevin Warsh presided as Chairman of the Fed for the first time at the June 17 FOMC meeting, where the Fed left short rates unchanged for the fourth consecutive meeting. During his press conference Warsh focused much more on inflation than employment. The Fed remains data dependent and is clearly more concerned about reducing inflation than weaker employment and the

prospect of recession. Contrary to market sentiment at the beginning of the year when expectations were for an easing of short rates, the market now expects the Fed to hike rates before the end of the year.

Outlook

The Fed's post-Great Financial Crisis zero-interest rate policy and balance sheet expansion is likely a major cause of today's inflation. It has resulted in the misallocation of capital leading so many to note today's "K-Shaped Economy" that benefits asset holders at the expense of lower-wage consumers and is a source

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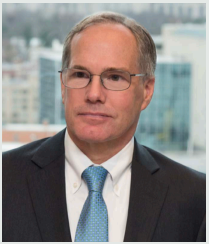
Q2 Economic and Market Review



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Chevy Chase Trust, ASB's affiliate.

Prior to joining ASB/Chevy Chase Trust, Mr. Smith was Managing Director, Portfolio Manager and co-head of the Washington D.C. office of Fiduciary Trust Company International. Before that, Mr. Smith was an investment professional at Morgan Stanley, Emerging Markets Management LLC, and Riggs Investment Management Corporation.



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portfolios for institutional and high-net-worth clients.

Prior to joining Chevy Chase Trust and ASB, Mike served as Chief Investment Officer of The St. Paul's (now Travelers) life insurance subsidiary and has previous experience with Conning, Bank of America, Legg Mason, and First National Bank of Maryland. He has 25 years of experience managing portfolios.

of the country's widening political divide evident in recent elections.

With regard to inflationary pressure, we note that as real GDP growth continues, real interest rates have risen. The graph below shows the "real" yield of 10 year Treasury notes adjusted for inflation as estimated by the Cleveland Fed. Note the negative real yields particularly during the Pandemic, when massive stimulus kept nominal interest rates low. We suggest this is a major cause of current inflation.

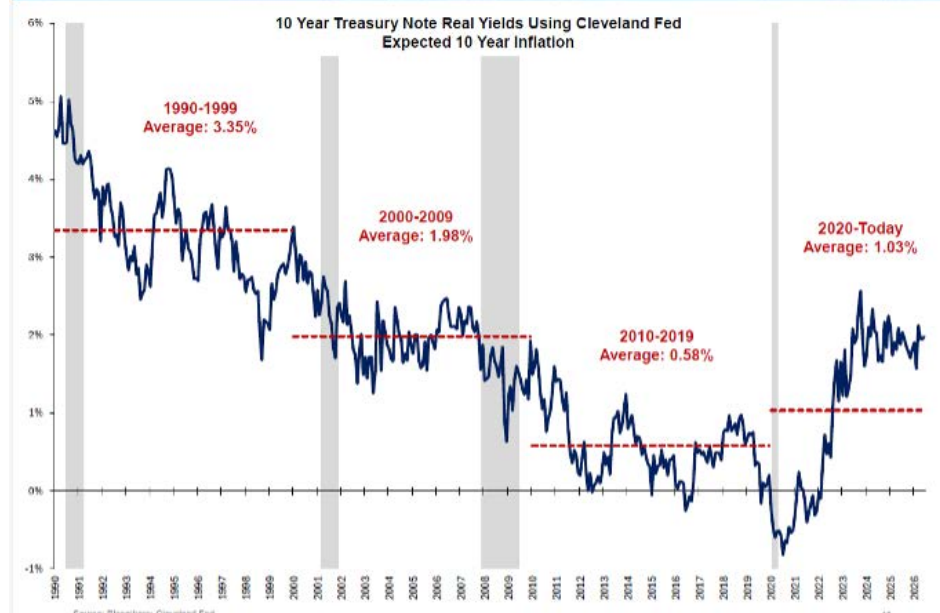
Kevin Warsh may be the best candidate to head the Fed, but even Superman had his kryptonite. Although it may bring greater volatility to interest rates, we are encouraged by his desire to reduce the Fed's balance sheet.

We remind our readers that when Bernanke's Fed first engaged in the large-scale open market purchase of treasury bonds to lower rates and relieve the economic pressures of the 2008-09 Financial Crisis it was considered a "break the glass" moment. Many thought it illegal, and those involved in the decision agreed the tactic should rarely be used.

To his credit, Warsh resigned in protest when the FOMC implemented its second round of quantitative easing. Quantitative easing has since become a regularly used monetary tool, and the Fed continues to purchase bonds even in the strong current economic environment, \$300 billion year-to-date. In addition to capital misallocation and inflation, the Fed's activism has enabled Congress to abdicate its responsibility for managing the country in a fiscally prudent manner.

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Real Yields on Bonds Moving Higher



Q2 Economic and Market Review

Perhaps we can kick the can down the road for many more years, but if the ruling class waits for a crisis to resolve our nation's debt problem, the ensuing calamity will make all previous downturns look like boom times.

Reflecting on longer term trends, we are reminded of the madness of crowds and what H.L. Mencken said in 1926, "no one in the world, so far as I know... has ever lost money by underestimating the intelligence of the great masses of the plain people." Right now, the masses are pushing the price of everything AI higher.

Recently a financial advisor acquaintance with a long career preceding the internet bubble acknowledged that the market is expensive, and then asked, "but what could make it go down?" Two candidates immediately came to mind: earnings reports failing to meet expectations, particularly at the major tech companies, and the prospect of the Fed hiking interest rates. Bull markets don't die of old age; the Fed has murdered every one of them.

Regarding earnings, record debt issuance from the major tech companies is fueling the boom. The AI builders use the debt to buy chips, which immediately contributes to high-margin earnings for the manufacturers. The capital expense of the chip buyer is depreciated and contributes to earnings over time. As a result, today's record profit margins and increasing earnings may end abruptly with any decline in expectations.

Fixed income returns have so far

been uninspiring this year, but lower prices bring higher yields and increased prospective returns. In the current environment, an intermediate maturity investment grade fixed income allocation offers reasonable yields, portfolio diversification, and the opportunity for price appreciation.

Equity Review

Equity markets ended the first quarter of 2026 in what has been, in recent years, a rare state of angst. This was driven by the economic uncertainty resulting from the conflict in the Middle East beginning at the end of February, and the resulting disruption to energy and other commodity markets.

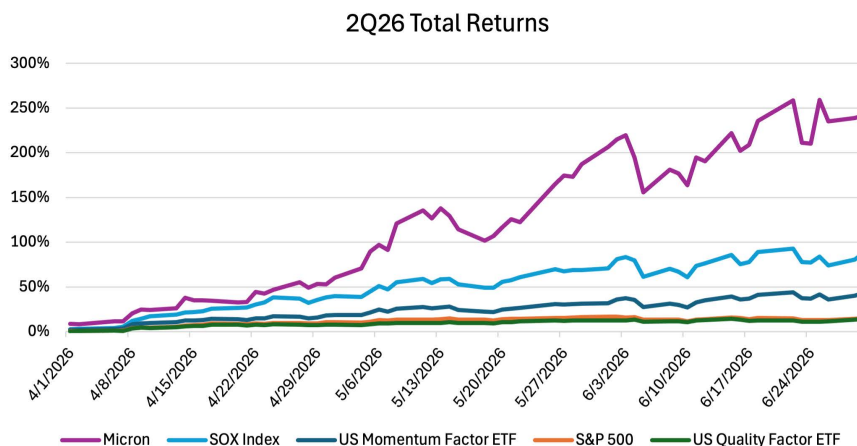
However, optimism that the war would come to a quick conclusion and renewed enthusiasm about the artificial intelligence revolution propelled the S&P 500 to a solid performance in the second quarter, rebounding from a first quarter loss to a 15.2% total return in the second quarter.

In this quarter's iteration of AI exuberance, it was the relatively low-tech, commoditized, and highly cyclical memory industry that benefited the most. Seemingly insatiable demand for memory chips in data centers propelled The Philadelphia Stock Exchange Semiconductor Index to a total return of 156.86%. Idaho based memory chip producer Micron Technology gained an astounding 304.43% in the quarter. The stock's year-over-year total return through the end of the quarter was 836.54%.

Momentum stocks in general were back in vogue with investors in the quarter. The MSCI USA Momentum Factor ETF had a total return of 43.01% in the quarter while the MSCI USA Quality Factor ETF trailed the S&P 500 with a total return of 14.6%.

Adding to investor enthusiasm in the quarter was the actual IPO of Elon Musk's Space Exploration Company in mid-June and the impending IPOs of AI giants Anthropic and OpenAI.

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Q2 Economic and Market Review

Outlook

While we are hopeful that improvements in productivity will result from the massive investments being made in AI infrastructure, we are also concerned that investors are driving valuations of AI related companies to levels that assume massive returns on the capital being devoted to data center and related investments. We are also concerned that investments that were largely funded from operating cash flows are now increasingly being funded by debt and equity issuance.

We think the best approach to projecting future returns is not to be certain of a particular outcome but to think probabilistically about where we place investor money. For example, we think it is likely that most of the gains of

the three massive IPOs (SpaceX, Anthropic, and OpenAI) that are expected to enter public markets this year have already been accrued by private market investors.

“ We think the best approach to projecting future returns is not to be certain of a particular outcome but to think probabilistically about where we place investor money.

There are companies in the public markets that will likely benefit from using AI tools to improve their operational

efficiency but that trade at very modest valuations compared to the marquee names in the AI space that garner most investor attention. We think this is a fruitful way to approach investing in the undeniable advances being made in computing technology.

As always, we continue to look for companies with proven profitable business models, reasonable levels of debt, attractive valuations, and good prospects for future growth. We continue to find such opportunities, even in equity markets that are trading at the high end of historical valuations. We also continue to limit portfolio volatility by constructing portfolios with exposure to companies in a wide variety of sectors and industries with limited return correlations. □

Asset-Liability Matching for Small to Mid-Size Insurers: The Basics That Drive Better Investment Outcomes

matching and cash flow matching.

The importance of disciplined ALM has become even more evident in today’s economic landscape. Interest rates remain significantly higher than the ultra-low-rate environment that dominated much of the previous decade, creating attractive income opportunities for fixed-income investors. At the same time, inflation uncertainty, evolving central bank policies, and periodic market volatility continue to influence bond valuations and yield curves.



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Rather than viewing these developments as obstacles, insurers that begin with their liability structure can use them to build more efficient investment strategies.

Liabilities Should Drive Investment Decisions

Unlike many other types of institutional investors, insurance companies have a unique challenge: they generally possess fairly volatile and sometimes unpredictable liability profiles; at least when compared to other institutional investors.

Whether the business consists primarily of personal property and casualty policies, commercial insurance, or life products, future claims obligations can be estimated using actuarial analysis. Those projected cash flows should form the foundation of the investment process.

Too often, investment decisions begin with market views—where rates are headed, which sectors appear attractive, or whether credit spreads seem rich or cheap. While these considerations matter, they should come after understanding the liability structure. This way of thinking and operational approach separates the Insurance Asset Managers from the non-specialists.

A portfolio built without reference to liabilities may generate attractive returns in the short term but create funding challenges if assets mature too late, cash flows arrive too slowly, or market conditions force securities to be

sold at unfavorable prices.

Successful insurers instead begin with one question:

When will we need cash to pay policyholders?

Everything else follows from that answer.

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Duration Matching: Managing Interest Rate Risk

One of the most important concepts in ALM is duration matching.

Duration measures a bond portfolio's sensitivity to changes in interest rates while also serving as an estimate of the average timing of its cash flows. Matching the duration of assets with the duration of liabilities helps stabilize an insurer's balance sheet as interest rates move.

If assets have significantly longer duration than liabilities, rising interest rates can reduce the market value of the portfolio more rapidly than the value of insurance

obligations declines. Conversely, if assets mature too quickly, insurers face reinvestment risk and may struggle to maintain sufficient income when liabilities remain outstanding.

For many insurers, duration matching does not require perfect precision. It is more of an exercise blending art and science. It involves maintaining reasonable alignment while monitoring how both sides of the balance sheet evolve over time.

Today's interest-rate environment reinforces this discipline. Although market participants continue to debate the timing and pace of future central bank actions, there remains considerable uncertainty surrounding inflation and economic growth. This uncertainty has contributed to periods of elevated rate volatility and changing yield curve dynamics, making duration management increasingly valuable rather than relying on directional interest-rate forecasts.

Cash-Flow Planning Matters Just as Much

While duration receives much of the attention, cash-flow matching is equally important.

Insurance liabilities are ultimately paid with cash—not duration statistics.

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Claims payments, benefit obligations, operating expenses, and regulatory capital requirements all require readily available liquidity. An insurer that matches duration but lacks sufficient near-term cash flow may still be forced to sell securities before maturity.

Effective cash-flow planning begins by projecting expected liability payments across multiple time horizons. Investment cash flows—including coupon payments, bond maturities, principal repayments, and scheduled redemptions—can then be aligned with these obligations.

This approach reduces dependence on secondary market sales, particularly at inopportune times, while improving portfolio flexibility during periods of market stress.

For property and casualty insurers, where claims patterns are often shorter and less predictable following catastrophic events, maintaining the appropriate amount of appropriate liquidity in the “reserve” portfolio components becomes particularly important. P&C lines of business can vary greatly in liability duration: from shorter durations such as auto, to much longer lines like worker compensation and most professional liability. The reserve portfolio is generally determined by an actuarial estimation of the amounts needed to satisfy future claims. The reserve component must be carefully addressed within the ALM process,

particularly when claims are subject to inflation rates exceeding headline inflation.

The objective is not to eliminate every potential mismatch but to ensure that routine obligations can be funded through planned portfolio cash flows rather than reactive trading.

Liability Structure Should Shape Fixed-Income Allocation

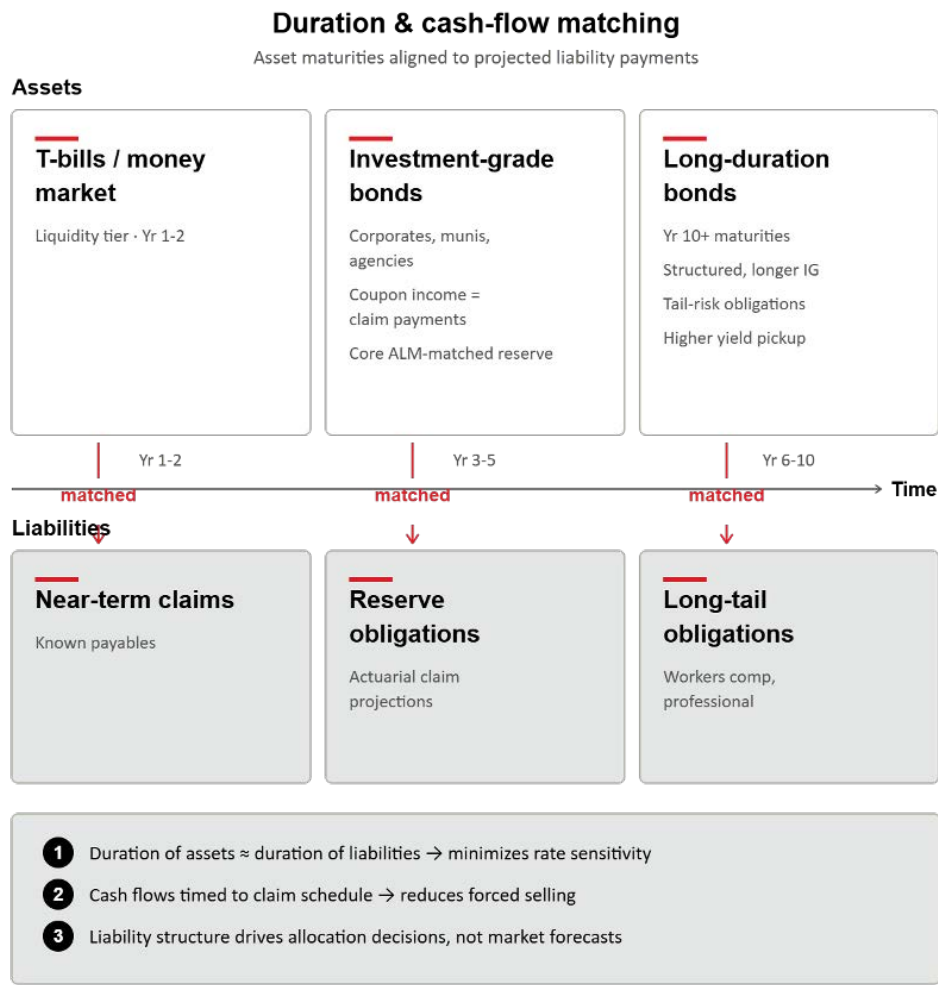
Not every insurer requires the same fixed-income portfolio. In fact, the portfolio should uniquely

reflect the insurer’s liability structure, financial strength and regulatory environment.

The composition of liabilities should directly influence sector allocation, maturity distribution, credit quality, and liquidity characteristics.

An insurer with relatively short-duration commercial insurance liabilities may emphasize high-quality government securities,

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short-to-intermediate investment-grade corporates, and highly liquid instruments that preserve capital while generating dependable income.

By contrast, insurers managing longer-duration liabilities may have greater capacity to allocate toward longer-dated investment-grade corporates, municipals where appropriate, structured securities, or other fixed-income sectors capable of providing additional yield over extended investment horizons.

The key is recognizing that asset allocation is not simply an exercise in maximizing return. It is an exercise in maximizing risk-adjusted returns given the insurer's liability profile.

When liabilities become the starting point, portfolio construction naturally becomes more disciplined.

Credit Quality Still Matters

The higher interest-rate environment has increased yields across much of the investment-grade universe.

This creates an important opportunity for insurers.

In previous years, investors often felt pressure to move down the credit spectrum to generate acceptable portfolio income. Today, many investment-grade securities offer substantially more attractive yields than during the low-rate period.

For insurers whose primary objective is funding future

liabilities rather than maximizing total return, this environment allows greater emphasis on high-quality bonds without sacrificing as much portfolio income.

Maintaining strong credit quality also helps preserve capital during periods of economic uncertainty. While credit spreads remain relatively contained in many sectors, they can widen rapidly during periods of slower growth or financial market stress. High-quality portfolios generally demonstrate greater resilience under these conditions.

“For insurers whose primary objective is funding future liabilities rather than maximizing total return, this environment allows greater emphasis on high-quality bonds without sacrificing as much portfolio income.

For many mid-size insurers, earning dependable coupon income while minimizing default risk often proves more valuable than pursuing incremental yield through lower-rated securities. Of course, insurers with stronger financials can incrementally add credit risk to improve yields and provide further diversification.

Rebalancing Is Part of the Process

Asset-liability matching is not a one-time exercise.

Liability profiles evolve as new

business is written, claims emerge, policies lapse, and actuarial assumptions change. Similarly, investment portfolios naturally shorten in duration as bonds approach maturity.

Periodic reviews allow insurers to maintain alignment between assets and liabilities without making unnecessary portfolio changes.

Regular monitoring may include:

- Reviewing duration gaps between assets and liabilities.
- Updating liability cash-flow projections.
- Assessing portfolio liquidity under stress scenarios.
- Evaluating concentration risk across issuers, sectors, and maturities.
- Reinvesting maturities in ways that preserve strategic alignment.

This ongoing process helps ensure that investment decisions continue supporting the insurer's broader financial objectives rather than simply responding to changing market headlines.

Building Better Outcomes Through Discipline

Market conditions will always fluctuate. Interest rates will rise and fall. Credit spreads will widen and tighten. Economic forecasts will continue to change.

Attempting to consistently predict these movements is extraordinarily difficult.

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Asset-liability matching offers a more durable framework.

By aligning duration, planning for future cash flows, maintaining appropriate liquidity, and allowing liability characteristics to shape fixed-income allocation, mid-size insurers can reduce unnecessary risk while improving the consistency of long-term investment outcomes.

In today’s market, where higher bond yields offer attractive income

but uncertainty surrounding inflation, monetary policy, and economic growth continues to create volatility, the value of disciplined ALM has arguably never been greater. Higher starting yields provide insurers with stronger income potential, while active duration management and thoughtful cash-flow planning help mitigate the impact of changing interest-rate expectations and shifting yield curves.

Ultimately, the strongest

investment portfolios are not necessarily those that generate the highest returns in any single year. They are the portfolios that consistently meet policyholder obligations, preserve capital through changing market cycles, and support the insurer’s long-term financial strength.

For small to mid-size insurers, that journey begins not with the assets—but with the liabilities. ☐

Not All Private Credit is Created – or Managed – Equal



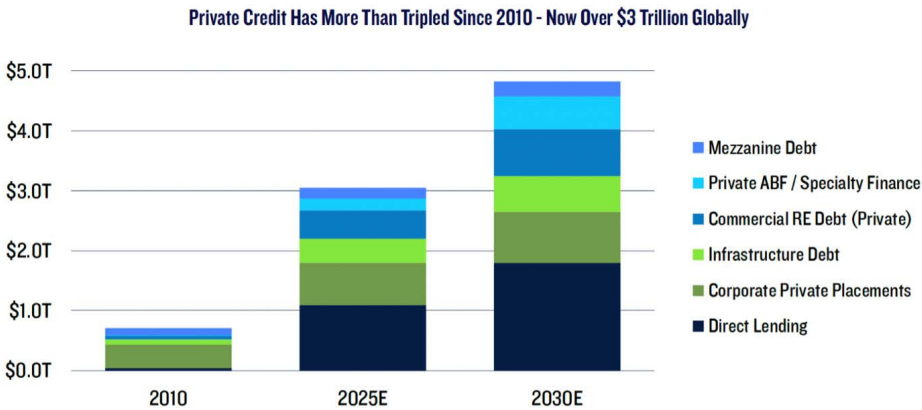
Jeff Haas, President SR Alternative Credit joined the predecessor firm to SR Alternative Credit in 2011, bringing with him a rich history of financial experience in portfolio management, transaction structuring, and operational leadership. Since the transition to SRAC, Jeff has been instrumental in leading the firm's operations and has played a key role in sourcing and structuring transactions, in addition to serving on the Investment Committee. His career has seen significant roles at Juniperhill Asset Management, Centrecourt Asset Management, and CIBC World Markets. Jeff began his career as a certified public accountant. Jeff holds an MBA from NYU's Leonard N. Stern School of Business.

Critical coverage of the private credit market has slowed down a bit in recent months but remains a theme in the financial press. Unfortunately, very few of these articles take the time to clarify that private credit is a large and diverse investment strategy comprising a range of asset types, investment styles, and underwriting strategies. Some sectors within specific strategies are indeed facing challenges, but many are not.

The rapid growth and diversification of private credit

The size of the private credit market has more than tripled in the last 15 years. The figure below illustrates the historical and forecast growth in private credit, broken down by strategy and underwriting approach. Direct Lending (lending money directly to companies based on expected cash flow) has seen the

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Sources: Preqin, PitchBook, Macquarie, MetLife/HIMCO, ACC/AIMA, Deloitte, PGIM, As of April 15, 2026

Not All Private Credit is Created – or Managed – Equal

highest growth rate, while areas such as Mezzanine Debt and Private Asset-Based Finance (ABF) have been more modest.

In the press, concerns about private credit are almost entirely focused on the Direct Lending segment, which (per the figure above) accounts for just a third of the total private credit market in 2025. Within that segment, concerns are more narrowly focused on lending to software companies at risk of disruption by Artificial Intelligence (AI).

Concerns about software exposure are warranted, but possibly overdone

Within the software sector, direct lending to companies between 2018 and 2022 was sometimes based on high expectations for revenue growth and underwritten with lax covenants.

For example, the American software-as-a-service (SaaS) company Medallia was recently taken over by its creditors, resulting in an equity loss of approximately \$5.1bn.¹ The private equity owner, Thoma Bravo, stated earlier this year that it “overestimated or extrapolated the very high rate of growth of that company,” after paying \$6.4bn for it in 2021.² More generally, many software companies may be at risk of having overestimated their growth rates as AI increasingly threatens their business models.

But our example with Medallia illustrates another key point: Although the creditors now own a software company, lenders typically structure their funding

as senior secured loans, so it is the equity holders (like Thoma Bravo) who are most likely to pay the cost of being too optimistic about a company’s growth, future profits and cash flow. Additionally, as the bulk of private credit loans mature in less than 5 years from issuance, many loans to software companies issued in the covenant-light period between 2018 and 2022 are likely to mature too soon to be materially impacted by an AI-driven decline in revenues.

“...many loans to software companies issued in the covenant-light period between 2018 and 2022 are likely to mature too soon to be materially impacted by an AI-driven decline in revenues.

Asset-based financing is more insulated from disruption

Within private credit, there are a variety of underwriting approaches, but the most common are based on forecast cash flows (typically used in Direct Lending) or the value of a company’s assets (typically used in Asset-Based Lending (ABL), wherein loans are collateralized by these assets.

Direct Lending’s underwriting model is based on a prediction of how comfortably a borrower’s cash flow is sufficient to meet their interest payments and ultimately repay the loan. As such, a variety of macro and microeconomic factors come into

play. This can include the outlook for the business cycle (and whether it is more subject to AI disruption), interest rates, and the competitive landscape for a particular borrower. As such, cash flow deals can look relatively secure when cash flow projections are elevated and rates are low, allowing equity sponsors to refinance their debt more easily, but can look measurably riskier should macro or microeconomic conditions deteriorate.

In Asset-Based Finance (ABF), a subset of ABL, assets are pledged by the borrower, and the lender evaluates their value, stability, and liquidity to determine how much to lend against those assets. While macro and microeconomic factors remain in play when evaluating the credit risk of such lending, collateral values are relatively stable, which can lead to more conservative loan-to-value ratios. Insofar as collateral values are less correlated with the business cycle, an asset-based approach generally provides not only more stability in risk assessment, but also greater measurability and higher recovery rates than direct lending.

Not all loan sizes are created equal

The large private credit funds tend to focus on the largest lending opportunities because—given their size—making large loans is more cost-effective. However, because these companies and their peers have

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Not All Private Credit is Created – or Managed – Equal

a lot of capital to allocate, they often compete for borrowers, which can weigh on loan yields and the robustness of transaction structures.

But large loans to large firms are not the largest part of the private credit markets. There are significantly more private companies (over 25m) in the U.S. than there are public companies (closer to 5,000). And just because a company is private doesn't mean it is small. About 90% of U.S. companies that generate more than \$100m of revenue per year are private. In short, the largest private credit managers are not competing in the space with the greatest demand for private credit.

This mismatch between supply and demand results in a significant financing gap for the millions of smaller, middle-market companies that are based across the country. Private credit managers who specialize in this segment, including SR Alternative Credit, benefit from less competition, which can improve yields, strengthen covenants, or

enhance loan terms. This larger market also provides a much wider opportunity set, allowing managers to be more selective in the borrowers they lend to and more thoughtful in their portfolio construction. The result is often improved portfolio diversification and thus lower sensitivity to any particular risk factor, such as AI.

Conservative insurance company investors may be better served to focus on asset-based lending within a smaller deal size

The media is right to focus on areas within private credit that could portend larger concerns. But private credit is a much broader and more diversified market than many investors realize. Whether it is traditional direct lending, special situations, real estate financing, or asset-based finance, each has different primary risk factors.

Our approach to “private credit” focuses on the origination, underwriting, and management of ABL, with a target loan size between \$10m and \$50m. (Below \$10m is often not cost-effective, and above \$50m gets close to the

area targeted by the larger private credit firms, with all the drawbacks that entails.) Our loans are senior secured (at the top of the capital structure), in bankruptcy-remote structures, typically with terms between 1 and 5 years, and backed by hard & financial assets with reasonable loan-to-value ratios.

Looking ahead, we remain mindful of the challenges the Direct Lending segment is working through and will, of course, monitor the wider market for signs of stress or contagion from that segment. But we stand by our belief that an asset-based approach to private credit, backed by robust due diligence, and focused on loan sizes with the greatest potential for diversification and favorable lending terms, will enable us to consistently originate transactions with attractive risk-adjusted returns. ☐

Sources :

¹ <https://finance.yahoo.com/markets/stocks/articles/medallia-taken-over-private-credit-182600814.html>

² <https://www.cnn.com/2026/03/17/orlando-bravo-pushes-back-on-private-markets-criticism-everybodys-extremely-comfortable.html>

Our New Website Is Live — Here's What's Inside

We've redesigned
www.capvisorassociates.com!

The new site reflects what we hear from clients again and again: insurers and captives don't need another investment manager telling a good story. They need discipline, objectivity, and data

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applied to a problem that's genuinely insurance-specific — reserve requirements, surplus structure, regulatory treatment, and duration sensitivity.

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- Steward Model Portfolio Series (NEW) — five professionally built, multi-asset model portfolios for institutional-quality allocation without a fully custom engagement
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You'll also find the numbers behind our approach: ~\$1Bn in client assets advised, 150+

years of combined insurance asset management experience, and a reminder that Strategic Asset Allocation (SAA), not manager selection or market timing, explains 70–90% of long-term portfolio returns.

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Upcoming Events

Carl Terzer and Travis Terzer are attending the SCCIA 2026 Annual Executive Educational Conference in Charleston, SC from September 28-30. We hope you join us for Carl's session, "From Banking to Investing: The Modern Financial Ecosystem of Captive Insurance."

Travis Terzer is moderating the session "Rates, Risk, and Regime Change: Investing in a Shifting World" at the CIC-DC Annual Conference in Washington, DC. Don't miss this timely conversation on October 6 at

11:15 am.

Carl Terzer is excited to return as a speaker at the NRRRA National Conference in October. Don't miss his session, "Capitalizing on Change: Economy & Investments."

Carl Terzer is also speaking at TCIA's annual conference. Join us for "Investing for Your Captive's Future: Aligning Assets with Claims, Growth, and Financial Strength" on October 13 at 2:30 pm.

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Carl E. Terzer
Principal & Editor in Chief
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